

Safe Banking over the Internet

The Internet offers the potential for safe, convenient new ways to shop for financial services and conduct your banking business. Whether you are selecting a traditional bank or an online bank, it is important to make sure that the bank is *legitimate* and that your deposits are *federally insured*.

When using online banking systems:

1. Keep your personal information private and secure
2. Understand your rights as a consumer; and
3. Learn where to go for more assistance from banking regulators.

Tips for Safe Internet Banking:

1. Read key information about the bank on its website. Most bank websites have an “About Us” section that describes the institution, where you might find the bank’s history, the official name and address of its headquarters, and information about its FDIC insurance coverage.

2. Protect yourself from fraudulent websites. Watch out for copycat websites that deliberately use a name or web address very similar to that of a real financial institution. These websites try to get your personal information, such as your account number and password. Check if you have typed in the correct web address for your bank before conducting a transaction.

3. Verify the bank’s insurance status. Look for the FDIC logo or the words “Member FDIC” or “FDIC Insured” on their website. You can also check the FDIC’s online database of FDIC-insured institutions. If your bank does not appear on that list, contact the FDIC.

- a. Some bank websites provide links directly to the FDIC’s website to assist you in identifying or verifying the insurance protection of their deposits.
- b. Note that not all banks operating online are insured by the FDIC. Many banks that are not insured are chartered overseas. If you choose one of these banks, know that the FDIC may not insure your deposits, which can be risky. Contact your bank or the FDIC if you are uncertain.
- c. For insurance purposes, be aware that a bank may use different names for its online or traditional services. This does not mean that you are dealing with two separate banks. Talk to your banker if you have questions.

4. For assistance from the FDIC regarding the legitimacy of an institution or the insurance of your deposits, you can call the FDIC's Division of Compliance and Consumer Affairs or send an email through their website. Their website also has an Electronic Deposit Insurance Estimator that can help you determine the amount of your insurance coverage.⁷¹

Note: Only deposits offered by FDIC-insured institutions are protected by the FDIC. Non-deposit investment and insurance products, such as mutual funds, stocks, annuities, and life insurance policies sold online or through the bank itself are not FDIC-insured, are not guaranteed by the bank, and may lose value.

Money Safety

Identity theft: Identity theft occurs when someone uses your personal, sensitive information to either steal from you or pretend to be you. Some forms of identity theft include: using the money in your bank or investment accounts, opening up new lines of credit, using your insurance information, or stealing your tax refund.⁷²

The first step to preventing identity theft is awareness of how and when you use your personal information. By keeping close tabs on your personal information, you can reduce your chances of becoming a victim of identity theft.

Tips to Avoid Identity Theft:

Protect Your Personal Information:

- Memorize your Social Security number and passwords. Do not record your password on papers you carry with you and do not carry your Social Security card or birth certificate with you.
- Do not use your date of birth as your password. Use strong, complex passwords and add an authentication step (such as text message or email verification) to your financial accounts.
- Shred pre-approved credit applications and other financial documents before discarding them.

⁷¹ Federal Deposit Insurance Corporation (FDIC), 2021. <https://www.fdic.gov/>

⁷² Bev O'Shea. "Identity Theft: What It Is, How to Prevent It, Warning Signs and Tips." Aug. 4, 2021. <https://www.nerdwallet.com/article/finance/how-to-prevent-identity-theft>

- Watch your mailbox for stolen mail, which is one of the easiest ways for people to steal your identity.

Review Your Transactions & Statements:

- Order credit reports every year from each of the major credit reporting agencies and thoroughly review them for accuracy.
- Sign up for alerts from your bank, so you can track your transactions and quickly identify any that are suspicious.
- Check your monthly credit card and bank statements for unusual activity.

Practice Internet & Phone Safety:

- Be aware of *phishing* and *spoofing* – spam phone calls and emails from what seems to be a government entity or financial institution asking for sensitive information.
- If you are using a shared computer to check your bank balance or transfer funds, log-out of your account when you are finished to protect your money and information. Do not auto-save passwords.
- Do not download files sent to you by strangers or click on hyperlinks from people you don't know. Be aware of opening attachments in emails or text messages, as they could contain malicious software.
- Don't use public Wi-Fi for sensitive transactions, like banking or online shopping.
- Use a firewall program on your computer.
- Never give personal or financial information over the phone or Internet unless you initiated the contact. Be aware of common phone scams, which can be found here:
<https://www.consumer.ftc.gov/articles/phone-scams>

Take Immediate Action:

- Freeze your credit with the three major credit bureaus if you suspect someone has stolen your information. This stops new lines of credit from being opened.
- Report lost or stolen credit or debit cards *immediately*.